

Why proofs of concept get scrapped

A 2025 survey found the share of businesses scrapping most of their AI initiatives jumped to **42%**, up from **17%** the year before. The more honest number is smaller: the average organization scraps **46%** of its AI proof-of-concepts before they ever reach production. A proof of concept tests the model, and the operation around it only gets tested after launch.

THE HEADLINE NUMBERS

S&P Global · 2025 wave



S&P Global Market Intelligence, "Voice of the Enterprise: AI & Machine Learning." More than 1,000 respondents, North America and Europe. Top obstacles cited: cost, data privacy, and security risk.

WHERE THEY STOP

two of the five layers



A proof of concept can run without a named approver and without an owner after launch. A production system can't, and that's where these projects stop.

THE THREE OBSTACLES

none of them are the model

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Cost
What it costs at real volume.
 - Nobody priced what the system costs to run past the pilot.
- 2

Data privacy
Where the data actually goes.
 - Nobody in the privacy function signed off before launch.
- 3

Security risk
What happens when it's wrong.
 - No review, no rollback plan, no named owner.

Monday morning **YOUR FIRST MOVE**

Before you approve the next proof of concept, write down the answers to three questions you would otherwise only face after it already works: **who owns this once it graduates**, **what does it cost at real volume**, and **who signs off** on cost, data privacy, or security.

Self-check: if you can't answer those three before the green light, the pilot only postpones them.

OPERATOR INSIGHT · EPISODE 3

"A proof of concept proves the model. It never proves the operation - and the operation is what you are actually buying."

"Your AI maturity will never exceed your operational maturity."

Free **Score your own pipeline** – the AI-Ready Operations Assessment runs it against your own systems.
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